

there in about 25 years. (That's about the average 100-bagger in my study.)

But there are other ingredients as well. "Our analysis of the 100x stocks suggests that their essence lies in the alchemy of five elements forming the acronym SQGLP," they wrote:

- S — Size is small.
- Q — Quality is high for both business and management.
- G — Growth in earnings is high.
- L — Longevity in both Q and G
- P — Price is favorable for good returns.

Most of these are fairly objective, save for assessing management.

"In the ultimate analysis, it is the management alone which is the 100x alchemist," they concluded. "And it is to those who have mastered the art of evaluating the alchemist that the stock market rewards with gold."

That's one reason why I focus on people, which we'll get into more in a later chapter. Investing with top entrepreneurs and owner-operators gives you a big edge. And when you mix that talent with the other elements, you are on your way to big returns, if not 100-baggerdom.

You can find the 48-page report on Indian 100-baggers free online. Just search for "Motilal Oswal 100x" and it will come right up.

## **Martelli's 10-Baggers**

Another study forwarded to me by its author is a 45-slide presentation called "10x Return Stocks in the Last 15 Years," by Kevin Martelli at Martek Partners. Martelli presented it at the Value Investing Seminar in Trani, Italy, July 17–18, 2014.

Although not focused on 100-baggers, he found his inspiration in the same place I did: in Thomas Phelps's book *100 to 1 in the Stock Market*.

Martelli cited George F. Baker's (1840–1931) dictum, mentioned in Phelps's book, that summarizes the idea: